

In my view, the Plaintiff's case falls short for the following reasons:

I note at the outset that there was no evidence before the court of any written retainer agreement as between the parties, nor between Mr. Carson and Mr. Osmani's numbered company, 1951769 Ontario Inc., which may have assisted in shedding light on the scope of Mr. Carson's retainer with regard to what work and obligations may have been contracted to be performed for either Mr. Osmani or his company and for what specific tasks and years.

I accept Mr. Osmani's evidence that it was left with Mr. Carson to submit the corporate returns to CRA for the 2016, 2017 and 2018 for 1951769 Ontario Inc., and that this was for some unapparent reason not accomplished. I believe this is borne out in the audio clip of the call between Mr. Osmani and Mr. Carson in which Mr. Osmani asks (after his notification from and call with CRA) Mr. Carson whether those returns were in fact filed. Mr. Carson replies they were and he will check things and get back to Mr. Osmani. Had Mr. Carson not prepared those returns, then I believe his reaction on that call would have been different. These work for these returns was only invoiced for in October of 2021.

Any claim for any potential loss for any possible slip that might have occurred in this vein however would accrue to and be vested in 1951769 Ontario Inc. and not Mr. Osmani personally. Mr. Osmani brought his claim personally as Plaintiff. The court gave leave to amend the claim to add 1951769 Ontario Inc. as a co-Plaintiff, while reserving the Defendant's right to put forth submissions under the Limitations Act that the claim as then advanced on behalf of the corporate plaintiff would be statute barred by virtue of the fact that any cause of action therein would have arisen (no later than) in October or November of 2021, (when the potential slip by Mr. Carson referenced above would have been first discovered) more than two years ago.

I accept Mr. Mester's submission in this regard and find that any such claim by the corporation would accordingly be statute barred.

An additional impediment to the claim is the fact that there is no specific calculation of loss amount for penalties and interest that may be claimed by CRA resulting from any late corporate filings. The Plaintiff's claim has made a general blanket claim for damages of \$20,000 with no specificity or allocated breakdown of damages. Mr. Osmani mentioned in his cross-examination that thru the assistance of another accountant, he has paid a collection agency some \$5000 towards amounts claimed by CRA owing on his company's taxes and another \$5000 to that agency towards amounts claimed by CRA owing on his personal taxes, but that he is not clear on that state of accounts in general.

These impediments to the claim noted above would apply equally to any claim made for loss arising from a late filing of any HST returns for 1951769 Ontario Inc., such returns also having been prepared by Mr. Carson in the fall of 2021.

With respect to the issues of any aspect or extent of Mr. Osmani's claim for any damages arising from Mr. Carson's work on the personal returns prepared for Mr. Osmani, I note that Mr. Osmani stated in evidence that Mr. Carson was never requested, at least prior to the fall of 2021, to prepare same. There can be no issue therefore with any potential losses arising from any possible lateness in those filings. The evidence from the audio clip of Mr. Osmani's telephone call with CRA in October of 2021 and from his evidence on cross-examination suggests that Mr. Osmani was unaware that he was required to file personal tax returns until that call with CRA in the fall of 2021. CRA requires that everyone file a personal tax return annually (even if no income is claimed) and Mr. Osmani confirmed he had derived personal income from funds drawn from his company. As an aside, he was also reassessed for undeclared CERB benefits that he had received.

Mr. Osmani asserts that these personal returns are inaccurate, however no specific evidence of this was put forward and such an exercise in my view would have required evidence from another accountant reviewing the state of accounts expressed in those personal returns. Mr. Osmani mentioned in closing statements that these inaccuracies are evident from a review of his bank statements compared with the tax returns, but no reliable accounting evidence has been put forward of this in my view.

As a result, the court dismisses the claim.

If the parties wish to put forth any submissions on costs, then these may be delivered to the court by May 31st, 2024 (no longer than three pages please) for my review and determination.

April 25th, 2024

DJ R. Freedman

Deputy Judge R. Freedman